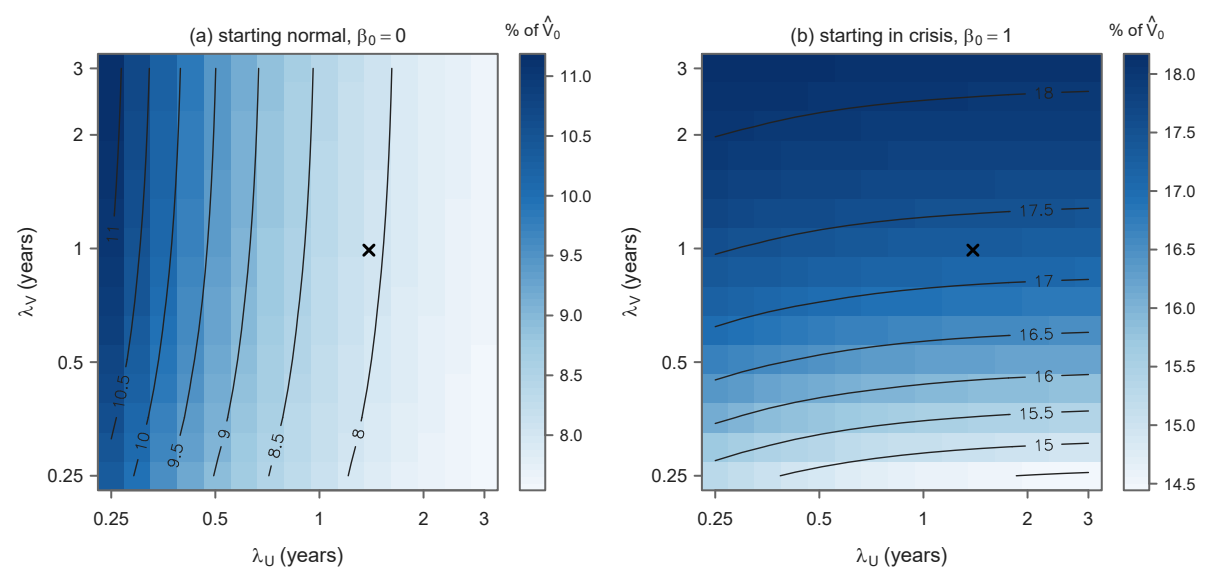
(a) starting normal, $\beta_0 = 0$
% of $\hat{V}_0$
11.0
10.5
10.0
9.5
9.0
8.5
8.0
11
10.5
10
9.5
9
8.5
8
λ_V (years)
3
2
1
0.5
0.25
λ_U (years)
0.25
0.5
1
2
3
(b) starting in crisis, $\beta_0 = 1$
% of $\hat{V}_0$
18.0
17.5
17.0
16.5
16.0
15.5
15.0
14.5
18
17.5
17
16.5
16
15.5
15
λ_V (years)
λ_U (years)